

Interest-Rate Risk Factor Swamps Bank Stock Valuations

We think rates have both risks and catalysts; plus, we give updates from the Barclays conference earlier this month.

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Understand How Interest-Rate Movements Will Drive Bank Valuations in Current Environment

While company-specific results have seemed to matter during earnings, improved valuations for banks have had a hard time holding up over time. Why is this? We believe an interest-rate risk factor is overriding most idiosyncratic factors for now. The first risk is the potential for higher short-term rates. Higher rates are typically good for bank profits. Today, they are not. Further, if rates get high enough, more banks could start breaking. The second risk is the potential for higher long-term rates. The higher longer-term rates go, the larger the losses become within accumulated other comprehensive income, or AOCI, and the longer it takes to satisfy upcoming regulatory capital rules.

We think third-quarter results may be the first quarter since March 8 when we see net interest income, or NII, guidance stay stable, and we expect some positive reaction to this. However, we also expect that bank valuations will need the market to become more confident that the current rate hike cycle is indeed over for an additional rating higher. Our base case is that all the banks under our coverage will survive this rate cycle and eventually meet the new regulatory requirements. Our sense is the market is still not entirely convinced, and this likely explains a material portion of the disconnection between our current fair value estimates and current valuations. We see the most risk in Comerica, KeyCorp, and Zions on the profitability front, and Truist, KeyCorp, and Schwab on the capital front.

Exhibit 1 We See the Most Risks in Comerica, KeyCorp, Zions, and Schwab

	# of Hikes Before Div. Payout Ratio > 100%	# of Hikes Before Unprofitable
KeyCorp	1	4
Comerica	3	4
Zions	3	4

	Estimated CET1 Shortfall Incl AOCI	# of Quarters Until Bank Fills Shortfall*	# of Extra Quarters Each 10 Bps Increase in 10-Yr Adds, Assuming 25 bps of CET1 Generation per Q
KeyCorp	-0.81%	3	0.7
Truist	-0.84%	4	0.5
Schwab	-0.02%	0	2.7

Source: Morningstar, U.S. Federal Reserve. Data as of second-quarter 2023. *Shortfall fill calculated as second-quarter earnings plus assumed AOCI amortization per quarter.

Key Takeaways

- ▶ Today, higher interest rates are a negative for the banking sector. Higher short-term rates are a negative for profitability because of higher funding costs. Higher long-term rates are a negative for meeting upcoming regulatory capital requirements. Rates will be a key determinant of bank valuations for now.
- ▶ Warning: Higher rates also present tail risks. If rates go high enough, more banks could start breaking. If more banks start to break, valuations for the whole sector will suffer.
- ▶ Our base case is that all the banks under our coverage will survive this rate cycle and eventually meet the new regulatory requirements. Our sense is the market is still not entirely convinced. If rates go materially higher from here, our base case could start to unravel for several names. This likely explains a material portion of the disconnection between our fair value estimates and current valuations.
- ▶ We see the most risk in Comerica, KeyCorp, and Zions on the profitability front, and Truist, KeyCorp, and Schwab on the capital front.
- ▶ While KeyCorp and Zions are riskier with regards to profitability, there are some potential positives. KeyCorp's unique NII boost between now and first-quarter 2025 should materially improve the bank's positioning. Our impression is that the market does not want to give the bank any upfront credit for this, so to the extent that the bank can survive and see a material boost to its NII over the next three to six quarters, it could be a positive catalyst. Zions has shown some surprising resilience within its NII over the past two months, with NII bottoming in June and growing in July and August. This suggests earnings pressure may not be as bad going forward as what we saw in second-quarter results.
- ▶ KeyCorp presents the highest risk for a dividend cut among our coverage, with a dividend payout ratio that is likely to expand into the 80% range, even without additional rate hikes. If the Federal Reserve hikes again, it could start to push the payout ratio above 100%, increasing the odds of a dividend cut. By the first quarter of 2024, we estimate the improvement in the bank's NII should buy it an ability to absorb one more additional rate hike before its payout ratio breaches 100%. No additional rate hikes would be the best scenario for the bank.
- ▶ Maintaining current rates for longer ("higher for longer," without going higher than today) is not a bad scenario for the banks. Eventually securities yields will improve, providing an earnings boost over time. We think the key for bank valuations will be about the "higher" and not the "longer."
- ▶ The most recent updates we have from the banks came during the Barclays conference, which ran from Sept. 11 through 13. We viewed the latest updates as largely positive. A few banks (Huntington, Comerica, and M&T) were seeing some increased expense pressure, but NII outlooks were maintained (U.S. Bancorp was the only bank admitting to some extra pressure).
- ▶ The latest regulatory impact estimates from the Barclays conference also largely aligned with our own internal estimates, with risk-weighted assets, or RWAs, expected to grow midsingle digits for most regionals, while larger banks are set to grow 20% or more. Morgan Stanley and Citigroup both surprised us positively with lower RWA growth estimates than we expected. We estimate the impact of additional long-term debt issuance would be a low-single-digit percentage of earnings.
- ▶ Top Picks: Wells Fargo, PNC, and M&T. We see all three names as cheap, but without the rate risk of the cheapest names, presenting a more attractive risk/reward profile for investors looking to avoid the biggest risks. However, all banks will have some correlation with rate movements and therefore some rate risk, and if other banks start to break, expect valuations for most banks to suffer.

Exhibit 2 Top Picks

Wells Fargo**WFC****Moat****Rating**

Wide

★★★★★

Turnaround story, difficult to know turnaround timeline, less rate risk, cheaper than largest peers

P/FV**P/Forward E**

Current

Current

5 Yr Historical

0.67

9.1

17.1

Yield**P/E****Three Months****Six Months****One Year****P/Adj. TBV *****P/TBV**

Current

Current

5 Yr Historical

Return

Return

Return

Current

Current

5 Yr Historical

3.4%

10.2

15.8

1.0%

14.0%

4.7%

0.93

1.18

1.35

PNC Financial**PNC****Moat****Rating**

Narrow

★★★★★

More conservative operator, less rate risk than USB/TFC, but still mega-regional

P/FV**P/Forward E**

Current

Current

5 Yr Historical

0.69

10.4

12.6

Yield**P/E****Three Months****Six Months****One Year****P/Adj. TBV *****P/TBV**

Current

Current

5 Yr Historical

Return

Return

Return

Current

Current

5 Yr Historical

5.0%

8.3

14.1

-0.5%

0.4%

-14.2%

1.09

1.75

1.78

M&T Bank**MTB****Moat****Rating**

Narrow

★★★★

More conservative operator, less rate risk than other regionals, higher CRE exposure but we give benefit of the doubt/view as manageable

P/FV**P/Forward E**

Current

Current

5 Yr Historical

0.73

8.5

11.3

Yield**P/E****Three Months****Six Months****One Year****P/Adj. TBV *****P/TBV**

Current

Current

5 Yr Historical

Return

Return

Return

Current

Current

5 Yr Historical

4.2%

7.3

12.2

4.5%

9.5%

-27.5%

1.13

1.35

1.85

Source: Morningstar, PitchBook, data as of Sept. 26, 2023. *Adjusted P/TBV excludes effects of AOCI on TBV.

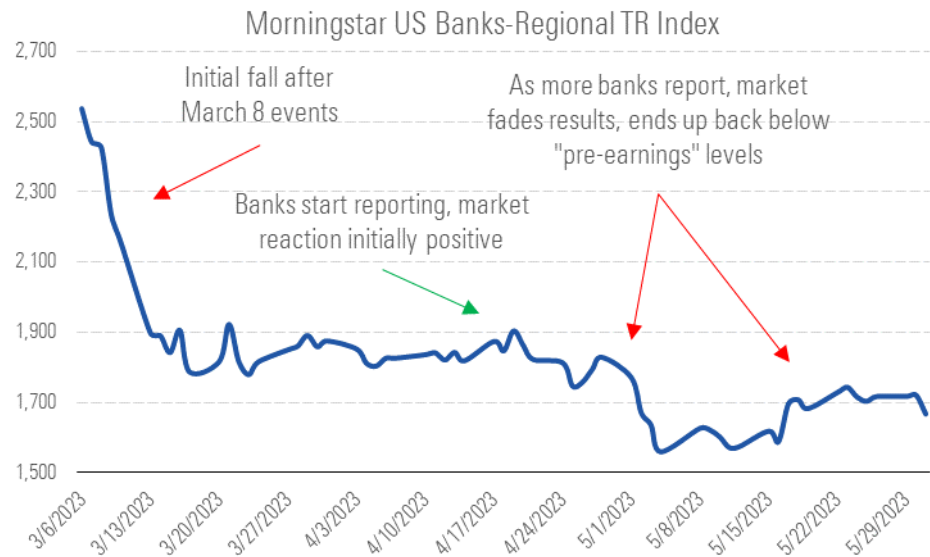
Exhibit 3 U.S. Traditional Bank Coverage

Morningstar Analyst: Eric Compton								
Ticker	Company	Close Price	Market Cap (m)	Fair Value Estimate	Price to Fair Value	Star Rating	Moat Rating	Uncertainty Rating
NYS:JPM	JP Morgan Chase	144.93	425,596	153	0.95	3	Wide	Medium
NYS:BAC	Bank of America	27.17	219,320	35	0.78	4	Wide	Medium
NYS:C	Citigroup	40.22	78,992	68	0.59	5	None	Medium
NYS:WFC	Wells Fargo	40.65	152,059	61	0.67	5	Wide	Medium
NYS:USB	U.S. Bank	33.02	52,298	52	0.64	5	Wide	Medium
NYS:PNC	PNC	121.59	48,834	175	0.69	5	Narrow	Medium
NYS:TFC	Truist Financial	28.25	38,414	50	0.57	5	Narrow	High
NYS:CFG	Citizens Financial Group	25.99	12,577	39	0.67	4	None	High
NYS:MTB	M&T Bank	123.27	20,841	169	0.73	4	Narrow	High
NAS:FITB	Fifth Third Bank	25.28	17,642	35	0.72	4	None	High
NAS:HBAN	Huntington National Bank	10.22	15,072	15	0.68	4	Narrow	High
NYS:KEY	KeyBank	10.43	9,949	20	0.52	5	None	High
NYS:RF	Regions Financial	16.87	16,234	20	0.84	3	None	High
NYS:CMA	Comerica Bank	39.99	5,462	73	0.55	5	Narrow	High
NAS:ZION	Zions Bancorporation	33.99	5,123	58	0.59	4	None	High
NYS:CFR	Frost Bank	89.71	5,885	122	0.74	4	Narrow	High
Money Center					0.75			
Regional					0.66			
Group					0.68			

Source: Morningstar, PitchBook. Data as of Sept. 26, 2023.

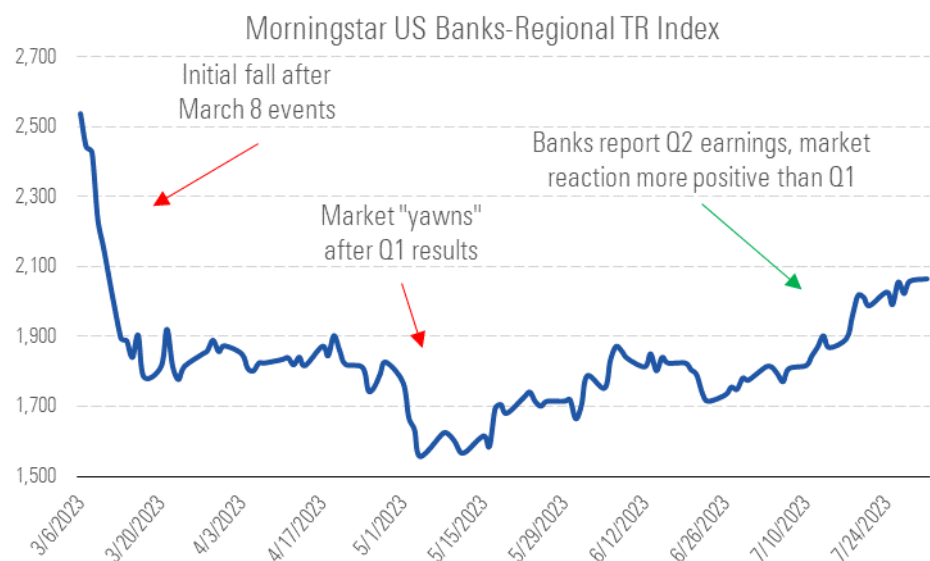
What Is Driving Bank Valuations Lately? Banks Cannot Seem to Hold On to Postearnings Gains

Heading into first-quarter earnings, which were our first look at bank results since the collapse of Silicon Valley on March 10 and the resulting banking industry pressure, our thesis was that the market would reward banks that avoided a bank run, while further punishing banks that were falling apart. Instead, the market yawned, with the banking sector largely treading water despite most banks under our coverage seeing only a low-single-digit percentage decline in their deposit bases. Our read on this, after the fact, was that the market was in "wait-and-see" mode and was not convinced that the turmoil was truly over after first-quarter results. In other words, "today's results aren't terrible, but we're still very worried about tomorrow's results."

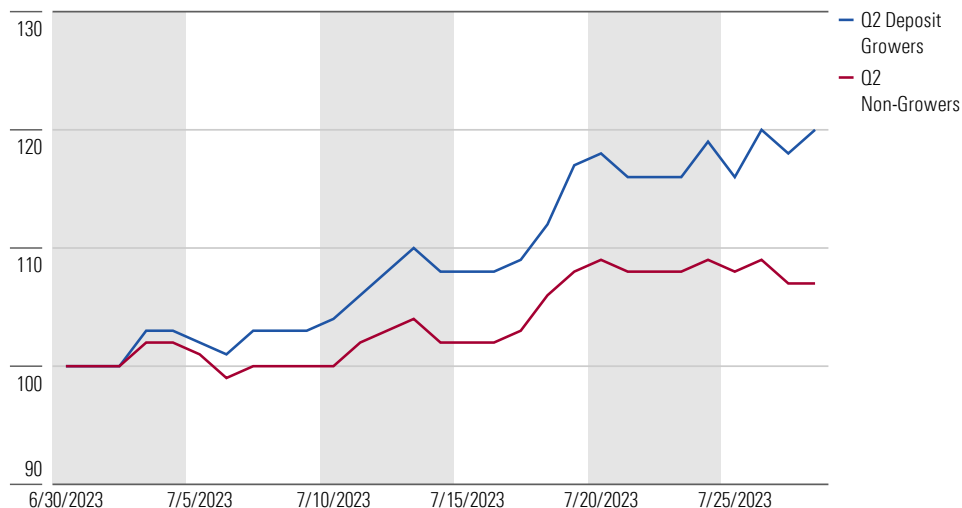
Exhibit 4 Market Largely Yawned Over First-Quarter Bank Results

Source: Morningstar. Data through May 31, 2023.

Second-quarter earnings saw a similar dynamic. Earnings weren't perfect and most banks lowered their profitability outlooks; however, roughly half of the banks under our coverage were able to increase deposits in the quarter, and the initial market reaction was even more positive than its reaction to first-quarter results.

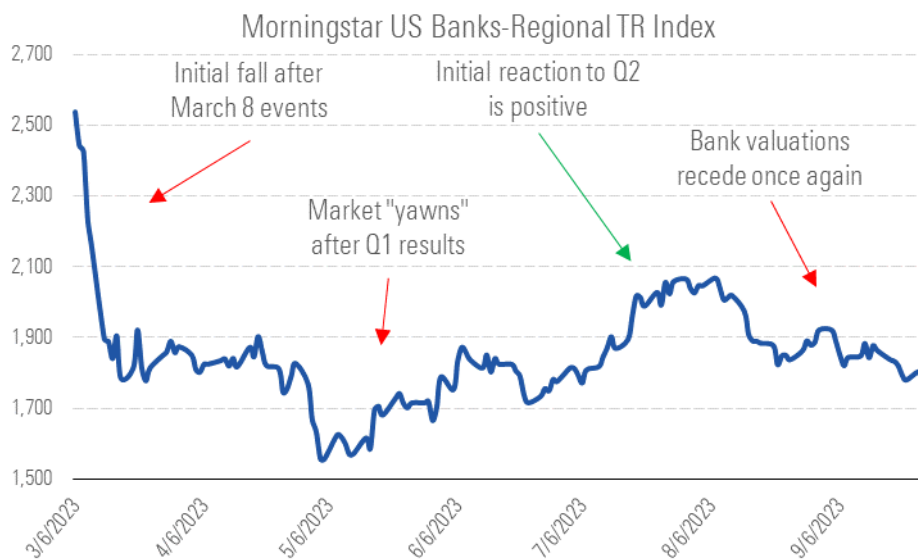
Exhibit 5 The Market Started to Become More Positive After Second-Quarter Bank Results

Source: Morningstar. Data through July 31, 2023.

Exhibit 6 Market Rewarded Banks That Increased Deposits More Than Those That Did Not**Morningstar U.S. Bank Coverage Total Return**

Source: Morningstar. Data through July 28, 2023.

However, this positive reaction largely faded away, too.

Exhibit 7 Banks Did Not Hang On to Their Second-Quarter Valuation Gains for Long

Source: Morningstar. Data through Sept. 26, 2023.

To summarize, while company-specific, idiosyncratic results have seemed to matter while earnings are happening, particularly during second-quarter results, improved valuations have had a hard time holding

up over time. Why is this? We believe an interest-rate risk factor is overriding most idiosyncratic factors for now.

What Is Driving Bank Valuations Lately? A Key Factor Is Interest-Rate Risk

While banks may be proving to the market in the past several quarters that their deposit bases are not disappearing and they are remaining relatively profitable, interest-rate movements still seem to be the main factor driving valuations, for now.

Higher Short-Term Rates Are Negative Catalyst

Higher rates are typically good for bank profits. Today, higher rates are bad for profitability due to higher funding costs. Further, if rates get high enough, more banks could start breaking. While the banks that survived have proven they are categorically different than the banks that failed, if the Federal Reserve hikes rates high enough, those categories could get blurry again. For some banks, this potential breaking point seems closer than for others.

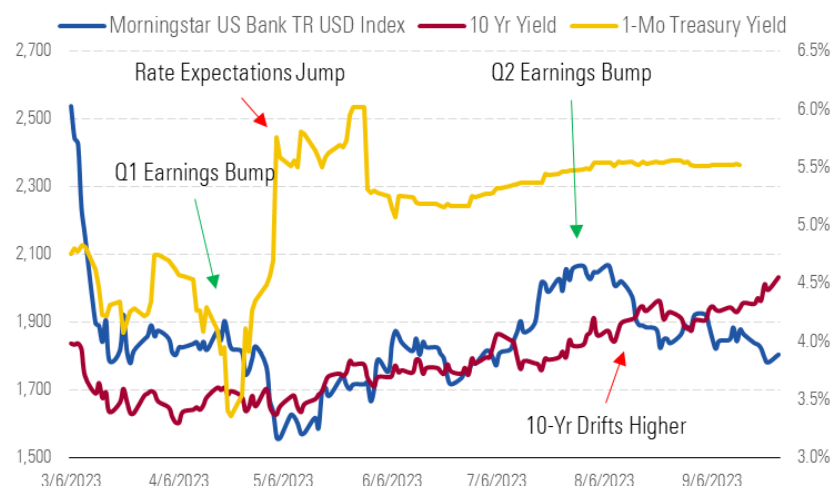
Higher Long-Term Rates Are Negative Catalyst

Higher long-term interest rates are also not great for banks in the current environment. Typically, banks would want to see an upward sloping yield curve. If that occurred today, the 10-year treasury yield would need to increase over 100 basis points. This has the potential to materially increase the unrealized losses on securities on bank balance sheets and therefore delay how long it takes Category III and IV banks to satisfy upcoming regulatory capital requirements. This makes higher long-term interest rates another risk investors are likely wary about.

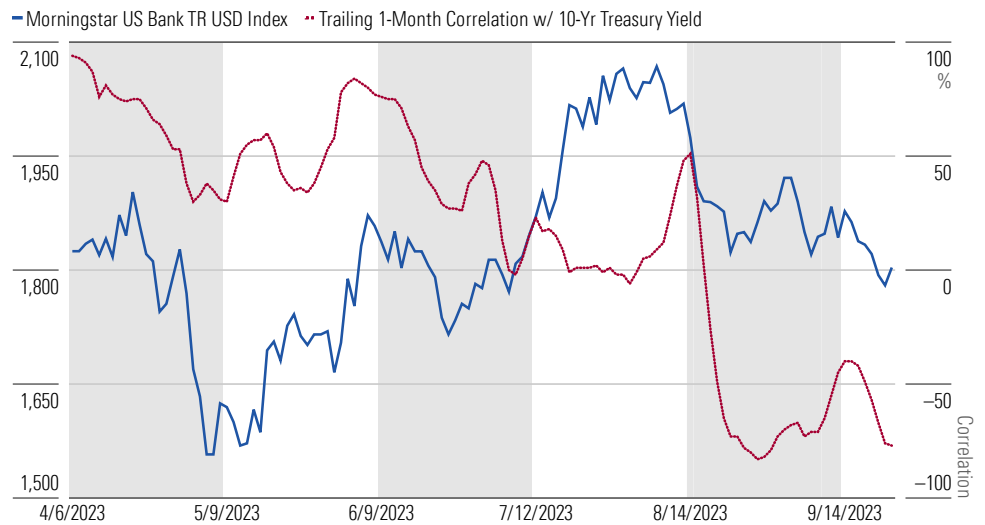
We think it is this mix of factors that is linking bank valuations with short term rate expectations and long-term rates. As a result, rate movements are largely overrunning any idiosyncratic factors, becoming one of the only factors that currently matters for bank valuations.

Exhibit 8 Earnings Were Positive Catalysts, However ...

... rate hike expectations and a higher 10-year Treasury seem to have "swamped" the earnings factor.



Source: Morningstar, U.S. Federal Reserve. Data through Sept. 25, 2023.

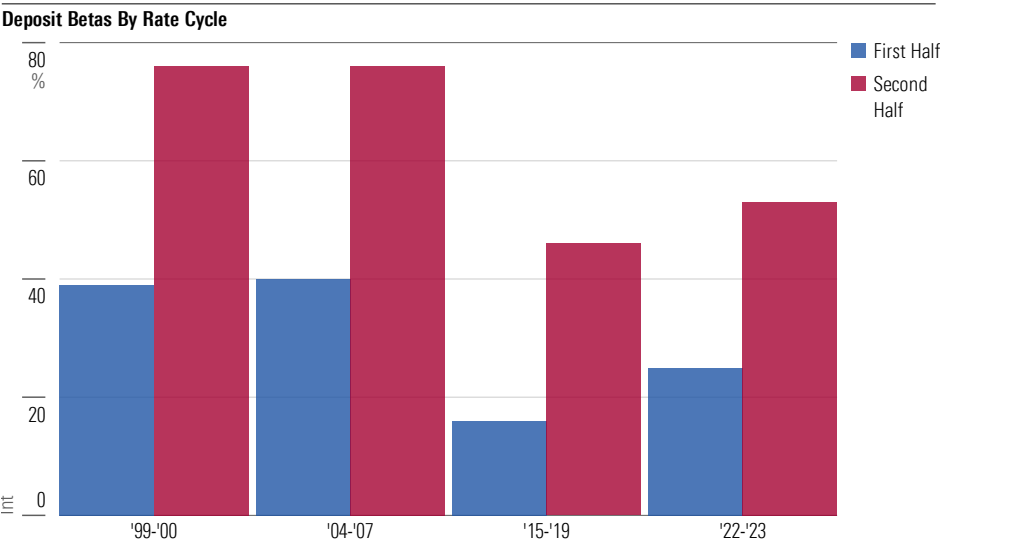
Exhibit 9 Correlation Between Bank Stocks, 10-Year Treasury Yield Gone Particularly Negative Since Mid-August

Source: Morningstar, U.S. Federal Reserve. Data through Sept. 25, 2023.

Interest-Rate Risk Is Real: Higher Short-Term Rates Drive up Funding Costs, Reduce Profitability

Profitability outlooks have fallen for most banks following March 8 as competition for deposits has heated up and funding costs have soared. A common way to measure deposit costs is deposit betas, defined as the change in the cost of interest-bearing deposits divided by the change in the federal-funds rate. Intuitively, if the Federal Reserve hikes rates 100 basis points and a bank's interest-bearing deposit costs increase 100 basis points, that is a beta of 100%. Betas have soared following March 8. While it is typical for betas to rise in the late stages of an interest-rate cycle, betas this cycle have been a bit higher than the most recent 2015-19 cycle and are inching closer to what we saw during pre-2015 cycles. This has been a shock to the system, as betas were trending closer to the 2015 cycle before March 8, and since then betas have accelerated faster than previously expected.

Exhibit 10 Deposit Betas Typically Accelerate in the Latter Half of a Rate Cycle
However, costs today are accelerating a bit faster than the 2015-19 cycle.



Source: Morningstar, U.S. Federal Reserve, S&P Cap IQ. Data as of second-quarter 2023.

In the late stages of a cycle, deposit costs rise so fast that rate hikes increase costs more than they increase income, which makes rate hikes a net negative for banking profitability. There is real risk present within the potential for rates to keep going higher than expected. Every time the Federal Reserve hikes from now on it will pressure banking sector deposit costs, potentially encourage more deposits to leave the system, and likely hurt profitability.

Exhibit 11 As Deposit Costs Have Accelerated Higher, NII Outlooks Have Deteriorated (Highlighted in Red)
This relates to most regional banks under our coverage.

NII Guidance			
	2022 Q4 Earnings	2023 Q1 Earnings	Q2 Earnings
NYS:JPM	\$74B Ex-Markets	\$81B Ex-Markets	\$87B Ex-Markets (up from 84B)
NYS:BAC	Q1 ~14.4B	Down 2% in Q2	Roughly stable in Q3, just above \$57B FTE FY
NYS:C	45B Ex-Markets	45B Ex-Markets	46B Ex-Markets
NYS:WFC	Up 10% YoY	Up 10% YoY	Up 14% YoY
NYS:USB	NIM Up 5-10 bps in Q1, then flat	Decreased NIM and Avg. Earning Asset Guidance, implies lower NII	\$17.5B-\$18B (previous range was ~\$18B-\$18.6B)
NYS:PNC	Up 11%-13%	Up 6%-8%	Up 5%-6%
NYS:TFC	Revenues Up 7%-9%	Revenues Up 5%-7%	Revenues up 1%-2%
NYS:CFG	Up 11%-14% FY	Up 5%-7% FY	Down 4% in Q3 vs Q2, NIM stabilizes in Q4
NYS:MTB	Up 23%-26%	Up 20%-23%	Closer to up 20%
NAS:FITB	Up 13%-14%	Up 7%-10%	Up 3%-5%
NAS:HBAN	Up 8%-11%	Core NII growth of 6%-9%	Up 3%-5%
NYS:KEY	Up 6%-9%	Down 1%-3%	Down ~13%
NYS:RF	Up 13%-15%	up 12%-14%	up 12%-14%
NYS:CMA	Up 17%-20%	Up 6%-7%	Up 1%-2%
NAS:ZION	Up high single digits	Q1 2024 Modestly Lower Than Q1 2023. To us implies FY 2023 growth of 2%	Q2 2024 Stable to Slightly Decreasing

Source: Morningstar, company conference calls and presentations.

Zions, KeyCorp, and Comerica the Most Sensitive to Rate Pressure on Profitability

We compared rate pressure across our coverage by calculating how much NII is changing for each bank each quarter, removing the effects of balance sheet growth, and comparing that to how much interest rates have changed. This is not a perfect science, but it allows us to back into roughly how much damage each additional rate hike is doing. We then normalize this to each bank's most recent quarterly net income. The intuition is "this is how much each additional rate hike will decrease earnings."

Exhibit 12 Most Banks Under Our Coverage Are Experiencing Only Mildly Negative Effects From Rising Rates However, some, such as KeyCorp, Comerica, and Zions, are under more pressure.

	Theoretical NII Sensitivity:	# of Hikes Before Div. Payout Ratio > 100%	# of Hikes Before Unprofitable
	Tax Adjusted Implied effect of 25 bps hike / Net Income		
JPMorgan Chase	0.6%	> 10	> 10
Bank of America	-6.0%	10	> 10
Citigroup	5.1%	> 10	> 10
Wells Fargo	-2.5%	> 10	> 10
Goldman Sachs	-2.5%	> 10	> 10
Morgan Stanley	-1.5%	> 10	> 10
U.S. Bancorp	-8.6%	4	9
Truist Financial	-9.6%	3	8
PNC	-0.4%	> 10	> 10
Charles Schwab	-12.5%	4	6
Capital One	-3.9%	> 10	> 10
Bank of New York Mellon	-2.8%	> 10	> 10
State Street	-1.9%	> 10	> 10
American Express	1.1%	> 10	> 10
Citizens Financial	-3.9%	> 10	> 10
Fifth Third	-5.1%	9	> 10
M&T Bank	-1.8%	> 10	> 10
KeyCorp	-22.5%	1	4
Ally Financial	-7.2%	7	> 10
Huntington	-8.6%	5	9
Regions	-3.1%	> 10	> 10
Northern Trust	-1.7%	> 10	> 10
Discover	-2.8%	> 10	> 10
Comerica	-18.9%	3	4
Zions	-17.9%	3	4
Cullen/Frost	0.6%	> 10	> 10

Source: Morningstar, company financial filings. Data based on second-quarter 2023 results.

This is not a perfect exercise. For example, pressures from higher deposit costs were arguably more intense in the second quarter than they are likely to be in the next quarters as there were more aggressive shifts into interest bearing deposits from non-interest bearing and as some banks were still dealing with deposit outflows. Banks can also change their hedging between quarters, and as each quarter goes by more low yielding securities mature and roll off the balance sheet, improving each bank's ability to deal with higher rates. Intuitively, we believe the above calculations present a more

negative version of reality, as earnings pressure is more likely to ease compared with the second quarter. However, we do not think this exercise is completely inaccurate either, and earnings pressure will certainly not disappear soon, so the relative ordering and something close to the sensitivity shown above seems reasonable.

Most banks we cover are negatively exposed to rates in the current environment, particularly among regional banks and Schwab. KeyCorp, Comerica, and Zions are under the most pressure and we believe they have the highest interest-rate profitability risk within their businesses today. If the Federal Reserve were to push rates materially higher, to 6.25% or 6.5%, these would likely be the first banks under our coverage to start to really get hurt. Under these more dire scenarios, we would likely see dividend cuts and increases in the tail risk of going unprofitable and seeing additional deposit flight as the depositors reassessed the viability of these banks.

The recent decrease in Charles Schwab's NII is more from clients reallocating assets from low-cost sweep cash deposits into higher cost certificates of deposits and money market funds. The rate paid on the company's sweep cash deposits has remained low at 0.45% (as of Sept. 21, 2023), but overall funding costs have increased from the company having to utilize supplemental funding, such as CDs and Federal Home Loan Bank loans, to replace the sweep deposits. For our analysis and thoughts on the liquidity, capital, and deposit-movement issues that have depressed Charles Schwab's share price in 2023, please see our August report, [Finding Comfort With Charles Schwab's Uncertainties](#).

Our base case, and indeed the market's base case, is that the federal-funds rate has already peaked and there will be no more hikes, so three to four additional hikes from here do not seem likely. However, investors a year ago would have thought a federal-funds rate of 5.25% today looked almost impossible, so it is an important risk to keep in mind. These would be the three banks to potentially "break" first under a tail risk type of interest-rate environment. We think this is a risk driving valuations for the banks under our coverage, especially for the banks more exposed to these risks, and investors should keep this in mind.

Zions and KeyCorp Have Some Nuanced Resistance to the Rate Pressure Narrative

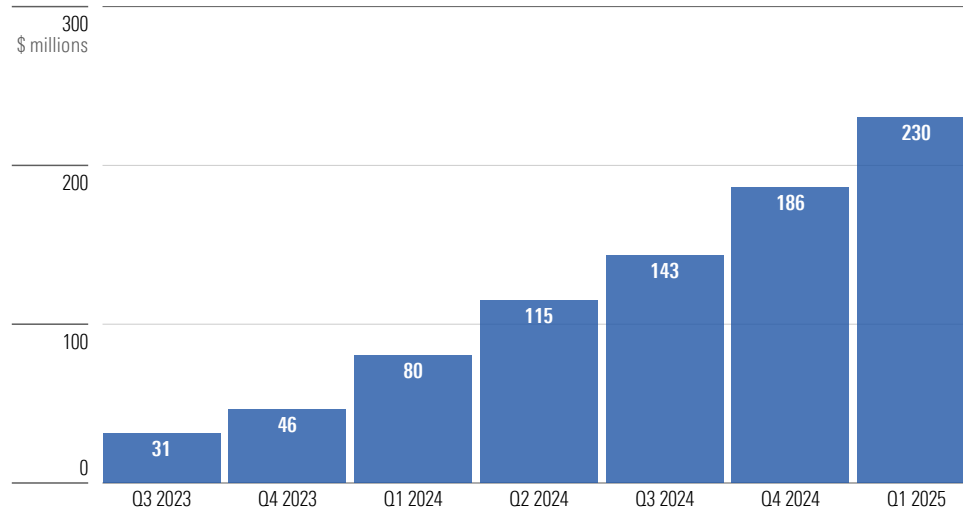
KeyCorp has a unique potential boost coming to its NII from now until first-quarter 2025. The bank previously put on hedges that in retrospect were not ideal. As these money losing swaps expire and as lower rate treasures expire, management expects a roughly \$900 million annualized, or \$230 million quarterly boost to NII. This is equivalent to a 24% increase in the bank's most recent quarterly NII. This is material and unique. We do not believe any other bank under our coverage is being hurt by their hedging and securities books as much as KeyCorp. If KeyCorp can get this entire benefit, it would buy the bank an extra buffer of roughly three additional rate hikes by our estimates. If the bank's unique NII boost story does play out, the bank should be a bit safer than it currently looks. Our impression is that the market does not want to give the bank any upfront credit for this, so to the extent that the bank can "prove it" and have some material boosts to its NII over the next three to six quarters, we think it could prove positive for the bank's current valuation as it is both idiosyncratic and helps deal with some of the rate risk narrative.

This situation also introduces some timing risk. If the Fed hikes rates sooner rather than later, KeyCorp will not have had as much time to improve its NII situation. The market currently thinks it is a coin toss between a "no more hikes" or "at least one more hike" for the December, January, and March Federal Reserve meetings. KeyCorp presents the highest risk for a dividend cut among our coverage, with a dividend payout ratio that is likely to expand into the 80% range, even without any more rate hikes. If the Federal Reserve hikes even one more time, it could start to push the payout ratio above 100%, increasing the odds of a dividend cut. By the first quarter of 2024, we estimate the theoretical improvement in the bank's NII positioning should buy it the ability to absorb one more rate hike before the payout ratio exceeds 100%. So, if the Fed hikes rates in December, it will be worse for the bank than if it hikes rates in March. By the end of 2024, we estimate the bank should be able to absorb at least one more rate hike again, and then one more by the end of the first quarter of 2025.

Exhibit 13 KeyCorp Still Looking for a \$230 Million Boost in NII per Quarter by First-Quarter 2025

This should improve the bank's profitability position materially if it plays out.

KeyCorp: Expected NII Improvement As Short-Dated Treasuries/Swaps Mature

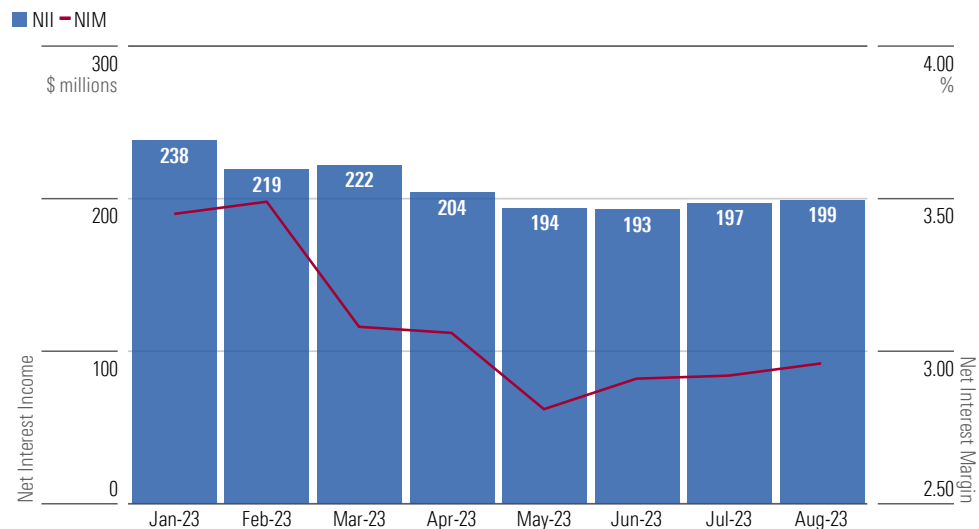


Source: KeyCorp investor presentation, Morningstar.

Zions is also showing some improved resilience to rate pressures. At the recent Barclays conference, the bank showed its NII results for July and August, and results were surprisingly good. NII had already bottomed out in June and had increased slightly in both July and August. Based on the bank's previous outlook and the bank's NII performance in the second quarter, both us and consensus had expected the bank's NII to keep declining. The bank's shares shot up when it released these numbers. These numbers suggest the bank may not be as risky as previously thought.

Exhibit 14 Zions' Recent Investor Update Shows NII May Have Bottomed in June, Despite a Rate Hike in Late July. This implies that pressure is not as bad as what we saw in second-quarter 2023 results.

Zions' Monthly NII and NIM Trends Through August 2023



Source: Zions investor presentation, Morningstar.

"Higher For Longer" Thesis Not Necessarily Bad for Banks

Banks are hurt more by rates going higher today. Maintaining current rates, which are high by the standards of the past decade and a half, for longer is not necessarily bad for banks. Currently, the main item hurting bank profits on the asset side is the inability to reprice fixed rate securities with longer durations. Most banks still have securities books yielding in the 3% range, barely changed from a year ago, while funding costs have soared. If rates do not go higher, but are simply maintained at current levels, eventually these securities will mature and be replaced by securities with current yields. Think over 5% for short duration Treasuries. The key risk in the "higher for longer" thesis for the banks is the "higher," not the "longer." For the banks to reprice higher, the market will likely have to gain some confidence that rates are done going higher.

Exhibit 15 Securities Mature and Reprice Slower Than Funding Costs

Securities will reprice higher over time, helping offset higher funding costs. Some banks are in worse positions today than others.

	Securities Yields			Int-Bearing Funding Costs			Securities/Earning Assets
	Q2 2022	Q2 2023	Change	Q2 2022	Q2 2023	Change	Q2 2023
JPMorgan Chase	1.55%	3.01%	1.46%	0.54%	3.04%	2.50%	36%
Bank of America	1.72%	2.44%	0.72%	0.54%	3.55%	3.01%	39%
Citigroup	1.84%	3.52%	1.68%	0.85%	4.15%	3.30%	42%
Wells Fargo	2.09%	3.10%	1.01%	0.47%	2.51%	2.04%	33%
U.S. Bancorp	1.93%	2.75%	0.82%	0.40%	2.60%	2.20%	26%
Truist Financial	1.82%	2.17%	0.35%	0.34%	2.81%	2.47%	27%
PNC	1.89%	2.52%	0.63%	0.27%	2.56%	2.29%	28%
Charles Schwab	1.46%	1.93%	0.47%	0.11%	1.57%	1.46%	72%
Citizens Financial	2.25%	2.81%	0.56%	0.36%	2.53%	2.17%	18%
Fifth Third	2.41%	3.33%	0.92%	0.43%	2.72%	2.29%	27%
M&T Bank	2.55%	3.09%	0.54%	0.20%	2.43%	2.23%	15%
KeyCorp	1.77%	2.67%	0.90%	0.34%	2.91%	2.57%	28%
Huntington	2.24%	3.82%	1.58%	0.25%	2.66%	2.41%	24%
Regions	2.00%	2.35%	0.35%	0.22%	1.69%	1.47%	23%
Camerica	1.92%	2.10%	0.18%	0.19%	3.52%	3.33%	22%
Zions	1.97%	2.56%	0.59%	0.14%	2.95%	2.81%	27%
Cullen/Frost	2.87%	3.24%	0.37%	0.26%	2.11%	1.85%	46%

Source: Zions investor presentation, cropped by Morningstar.

Interest-Rate Risk Is Real: Higher Longer-Term Interest Rates Increase Unrealized Losses

While higher short-term rates are currently a net negative for the banking sector, higher longer-term rates are also not helping either. Most banks have unrealized losses on securities on their balance sheets due to rates moving higher over the past year and a half. Unrealized losses on available for sale securities flow into accumulated other comprehensive income, or AOCI, and this affects capital ratios for Category I and II banks (the largest banks) and will eventually affect capital ratios for the smaller banks that are still larger than \$100 billion in assets (Category III and IV).

New regulations will start phasing in on July 1, 2025. Today, smaller banks do not currently have to include AOCI in their regulatory capital ratios. If they were forced to include AOCI and therefore include the unrealized losses, they would not always be meeting regulatory capital minimums. This sets up a race to meet changing capital requirements. One key lever in this race is the level of unrealized losses within AOCI. The higher longer-term rates go, the larger the losses become within AOCI, and the longer it takes to amortize away these discounts and satisfy the upcoming regulatory capital rules.

In Exhibit 16, we estimate how much each 10-basis point increase in the 10-year Treasury yield adds to AOCI.

Exhibit 16 We Estimate Each 10-Basis-Point Increase in 10-Year Treasury Yield Raises AOCI Levels 4.3% on Average
Each bank is different, and banks can adjust sensitivity via hedging.

Technique 1			Technique 2		
Median Change In Banking Coverage AOCI, Q1 to Q2	9%	a	Median Change In Q4 2024 AOCI Expectations from Q1 2023 to Q2 2023 (from banks that reported this datapoint)	16%	c
Effect From Amort. Assuming 7 Yr avg. maturity	4%	b			
Estimated Increase in AOCI From Rate Movement	13%	a + b = c	Estimated Increase in AOCI From Rate Movement	16%	c
Change In 10 Yr from Q1 to Q2	0.33%	d	Change In 10 Yr from Q1 to Q2	0.33%	d
Change in AOCI per 10 bps 10 Yr Move	3.8%	(c/d) * 10 bps	Change in AOCI per 10 bps 10 Yr Move	4.8%	(c/d) * 10 bps
Avg. Of Both Estimates			4.3%		

Source: Morningstar, company financial filings, U.S. Federal Reserve. Data as of second-quarter 2023.

Using the AOCI growth assumption above, we then calculate what the effect on each bank's common equity tier one ratios and regulatory capital timeline would be.

Exhibit 17 We Estimate Each 10-Basis-Point Rise in the 10-Year Yield Adds 0.5-1.0 Quarter to CET1 Builds, on Average

Schwab is the worst at close to three quarters.

	Net Income (after dividends)/ RWA	CET1 Incl AOCI	Estimated Min CET1 Ratio 2023 SCB (w/ 2024 GSIB buffer)	Shortfall	# of Quarters Until Bank Fills Shortfall*	# of Extra Quarters Each 10 Bps 10- Yr Increase Adds, Assuming 25 bps of CET1 Generation per Q
	2023 Q2	2023 Q2				
JPMorgan Chase	0.59%	13.82%	11.90%	None	None	0.1
Bank of America	0.33%	11.60%	10.00%	None	None	0.2
Citigroup	0.13%	12.50%	12.30%	None	None	0.6
Wells Fargo	0.28%	10.73%	8.90%	None	None	0.2
Goldman Sachs	0.23%	14.36%	13.00%	None	None	0.1
Morgan Stanley	0.17%	15.54%	12.90%	None	None	0.2
U.S. Bancorp	0.12%	6.87%	7.00%	-0.13%	1	0.4
Truist Financial	0.12%	6.56%	7.40%	-0.84%	4	0.5
PNC	0.17%	7.90%	7.00%	None	None	0.4
Charles Schwab	0.54%	6.98%	7.00%	-0.02%	0	2.7
Capital One	0.32%	10.56%	9.30%	None	None	0.5
Bank of New York Mellon	0.45%	11.08%	8.50%	None	None	0.6
State Street	0.46%	11.84%	8.00%	None	None	0.5
American Express	0.83%	10.62%	7.00%	None	None	0.3
Citizens Financial	0.13%	8.59%	8.50%	None	None	0.4
Fifth Third	0.20%	6.75%	7.00%	-0.25%	1	0.5
M&T Bank	0.41%	10.24%	8.50%	None	None	0.1
KeyCorp	0.04%	6.19%	7.00%	-0.81%	3	0.7
Ally Financial	0.13%	6.87%	7.00%	-0.13%	0	0.4
Huntington	0.20%	7.62%	7.80%	-0.18%	1	0.4
Regions	0.29%	7.78%	7.00%	None	None	0.5
Northern Trust	0.19%	11.32%	7.00%	None	None	0.3
Discover	0.59%	11.35%	7.00%	None	None	0.1
Comerica	0.22%	6.93%	7.00%	-0.07%	0	0.8
Zions	0.16%	5.95%	7.00%	-1.05%	3	0.8
Cullen/Frost	0.35%	8.98%	7.00%	None	None	0.8

Source: Morningstar, company presentations and financial filings. Data as of second-quarter 2023. *Shortfall fill calculated as second-quarter earnings plus assumed AOCI amortization per quarter.

Banks have eight quarters to meet the initial phase-in of regulatory capital rules. New rules start on July 1, 2025, or third-quarter 2025. AOCI will not be 100% phased in by then, only 25% of the initial phase-in amount will be applicable for the first year, with another 25% coming into effect every 12 months thereafter, with the full phase-in being completed July 2028. This phase-in gives banks closer to 20 quarters to fully meet all requirements. As such, we still calculate that all banks under our coverage are on track for meeting the updated requirements on time, although it is closer for some than others.

As longer-term interest rates climb, which we represent with the 10-year Treasury yield, they keep extending how long it takes banks to meet the updated requirements. Eventually, yields could go high enough where the math stops working for some banks. For example, if the 10-year yield jumped 100 basis points from here, it would potentially add close to eight extra quarters of capital building for banks like KeyCorp and Zions, which starts to make the math a little tighter than you would like to see for the current capital build process. If yields jump by even more than that, the math gets worse.

Our base case is that all banks we cover will meet regulatory capital requirements over time, however we think this is another risk factor the market is trying to discount. As the 10-year yield marches higher, the odds of getting "too high" increases, and vice versa. Therefore, there is also an inverse relationship between bank valuations and 10-year yields. This is another risk we think investors should keep in mind as they evaluate the banks.

Latest Updates From Barclays Conference: Banks Still Hanging in There; Earnings Could Be Another Positive Catalyst, but Rate Factor Will Still Loom Large for Now

The most recent updates we have from the banks came during the Barclays conference, which ran Sept. 11-13. We viewed the latest updates as largely positive. A few banks (Huntington, Comerica, and M&T) were seeing some increased expense pressure, but otherwise NII outlooks were maintained (USB was the only bank admitting to some extra pressure).

Exhibit 18 Most Banks Are Maintaining Outlooks Heading Into Third-Quarter Earnings

This suggests the third quarter may be the first when we don't see further guidance deterioration.

NII Guidance					Other Barclays Notes
	2022 Q4 Earnings	2023 Q1 Earnings	Q2 Earnings	Barclays Conference Sept. 11-13	
NYS:JPM	\$74B Ex-Markets	\$81B Ex-Markets	\$87B Ex-Markets (up from 84B)	Outlook maintained	
NYS:BAC	Q1 ~14.4B	Down 2% in Q2	Roughly stable in Q3, just above \$57B FTE FY	Outlook maintained	Deposits flat to slightly up, expense outlook maintained
NYS:C	45B Ex-Markets	45B Ex-Markets	46B Ex-Markets	Full year revenue outlook maintained	Expense outlook maintained
NYS:WFC	Up 10% YoY	Up 10% YoY	Up 14% YoY	Outlook maintained	Expense outlook maintained
NYS:USB	NIM Up 5-10 bps in Q1, then flat	Decreased NIM and Avg. Earning Asset Guidance, implies lower NII	\$17.5B-\$18B (previous range was ~\$18B-\$18.6B)	Coming in on low end of range	
NYS:PNC	Up 11%-13%	Up 6%-8%	Up 5%-6%	Coming in high end of range	Fees a bit weaker but expenses also a bit better
NYS:TFC	Revenues Up 7%-9%	Revenues Up 5%-7%	Revenues up 1%-2%	Revenue outlook maintained	Expenses up only 0%-1% in 2024
NYS:CFG	Up 11%-14% FY	Up 5%-7% FY	Down 4% in Q3 vs Q2, NIM stabilizes in Q4	Outlook maintained	Expense outlook maintained
NYS:MTB	Up 23%-26%	Up 20%-23%	Closer to up 20%	Outlook maintained	Expenses on high end of range, fees and credit maintained, deposits growing faster than expected
NAS:FITB	Up 13%-14%	Up 7%-10%	Up 3%-5%	Coming in high end of range	Fees and expenses also coming in at better half of range, deposits growing faster than expected
NAS:HBAN	Up 8%-11%	Core NII growth of 6%-9%	Up 3%-5%	Outlook maintained	Expenses coming in on high end of range
NYS:KEY	Up 6%-9%	Down 1%-3%	Down ~13%	Outlook maintained	Will keep reducing RWAs, 2024 expenses roughly flat
NYS:RF	Up 13%-15%	up 12%-14%	up 12%-14%		
NYS:CMA	Up 17%-20%	Up 6%-7%	Up 1%-2%	Outlook maintained	Deposits growing since end of Q2, betas still rising, expenses may rise faster than expected
NAS:ZION	Up high single digits	Q1 2024 Modestly Lower Than Q1 2023. To us implies FY 2023 growth of 2%	Q2 2024 Stable to Slightly Decreasing	NII bottomed in June, implies better results than expected	

Source: Morningstar, company presentations.

With the Federal Reserve maintaining the target rate range in September, we think it is unlikely that NII outlook will deteriorate in the final month of the quarter or into early October. We think this sets up the third quarter as the first since March 8 when we see NII guidance maintained. Most banks that mentioned current deposit trends were also seeing deposits trend as expected or even grow slightly faster. Like previous quarters, we would not be surprised if there were some positive reaction to banks showing that the current earnings deterioration is coming more under control and deposits are still largely staying in the banking system. However, we do not expect this to be a final answer for investors'

interest-rate fears, so the positive idiosyncratic reactions will likely still be tempered by the overall interest-rate environment.

We expect that bank valuations will need the market to become more confident that the current rate hike cycle is indeed over for an additional rerating higher. Our valuations are long term and "through the cycle," and our base case is that all the banks under our coverage will survive this rate cycle and eventually meet the new regulatory requirements. Our sense is the market is still not entirely convinced, and this likely explains a material portion of the disconnection between our current fair value estimates and current valuations.

Some Additional Clarity on Effects of New Regulations: Largely in Line With Our Previous Estimates, Although Uncertainty Remains on Ultimate Impact on Bank Profitability

We also received some new estimates from the banks about the effects of the latest regulatory proposals on their RWAs and long-term debt requirements. The new estimates largely aligned with our own internal estimates, although some banks' estimates (Citigroup and Morgan Stanley) were less harsh than our own, while one of the banks that could see an outsize impact, American Express, did not offer any concrete guidance.

Exhibit 19 Banks Gave Some of Their First Outlooks on Possible Regulatory Impacts
These largely aligned with what we were expecting.

Barclays Conference Sept. 11-13			
	Our Internal RWA Increase Estimate	Estimated Increase In RWAs	Potential Long Term Debt Issuance
NYS:JPM	26%	30%, capital requirements up 25%	
NYS:BAC	22%	20%	
NYS:C	26%	20%	
NYS:WFC	23%	20%	
NYS:USB	6%	High-single-digits	\$1B-\$2B additional issuance, plus a nominal buffer
NYS:PNC	5%	Up to 5%	\$2B additional issuance, plus a nominal buffer
NYS:TFC	6%	High-single-digits	
NYS:CFG	3%	4%	\$4.3B issuance, plus a nominal buffer
NYS:MTB	4%	Minimal impact	\$5B issuance, plus \$2B buffer
NAS:FITB	5%	5%	\$5B-\$6B of issuance
NAS:HBAN	4%	Mid-single-digits	
NYS:KEY	4%	5%	<\$5B issuance
NAS:NTRS	16%	10%-15%	
NYS:GS	32%	25%+ (capital increase)	
NYS:MS	31%	Implied ~10%	

Source: Morningstar, company presentations and conference calls.

We view the impact on regional banks as quite manageable. Mid-single-digit percentage increases in RWAs should not have a material impact on return profiles, while the impact of having to issue several billion in additional debt should generally be a low-single-digit impact on earnings power. For the larger banks, increasing RWAs by 20% or more would likely have a more material impact on future profitability profiles, although the exact effect remains hard to determine. Banks will adjust to the new cost of capital being imposed on them by raising pricing or getting out of certain businesses entirely. This could

mean that they are able to offset profitability pressure through pricing, or that future growth is lower as banks exit businesses to maintain proper profitability targets.

We are also not sure that regulations will be passed in their current form. Our sense is that these updates are getting more industry pushback than previous regulatory changes, and regulators themselves are less happy about them as well. Multiple Federal Reserve Board members voted against the current regulations, and at least one member that voted for them voiced some hesitation in his vote, describing his vote as simply a vote to let them be seen by the public and not necessarily a ringing endorsement of their content. It also strikes us that the current regulatory proposals do not directly address the issues witnessed after March 8. The latest banking industry crisis was largely a combination of duration risk mismanagement and overly concentrated deposit bases, whereas the current regulatory proposals simply increase capital levels, and ironically, increase capital requirements the most for the banks that saw the least disruption. We have a feeling the last chapter concerning these regulatory proposals has not been written.

Top Picks: Bearing in Mind Rate Risk, Consider Wells Fargo, PNC, or M&T Bank if You Are Comfortable With Banking Exposure

Our first advice when thinking about the banks in this environment is to understand the rate risk in your portfolio. Banks will likely inversely correlate materially with rate movements and rate expectations at this stage of the cycle. At some point, potentially with three to four more hikes, more banks could start breaking, and this will drag down the whole sector if it does happen and some of our calls will potentially start to fall apart. If longer-term rates continue to push higher by 100 basis points or more, it could also make the regulatory math more difficult.

If an investor is OK with these risks for the sector, we think Wells Fargo, PNC, and M&T Bank offer the more distinctive risk/reward combinations under our coverage.

Wells Fargo

The safest bet among the Big Four U.S. banks remains JPMorgan. We think Bank of America is moderately cheaper than JPMorgan, but for the real discounts among the Big Four, an investor has to consider the turnaround plays, Citigroup and Wells Fargo. While Citigroup is a bit cheaper than Wells Fargo overall, we like that Wells Fargo has a stronger franchise from a profitability perspective and Wells Fargo is further along in its turnaround timeline. Given the potential timelines at play, plus the difficulties that come along with franchises like Citigroup that are structurally less profitable than peers, we would favor Wells Fargo today. Wells Fargo is also not dealing with the same capital or earnings pressure issues that many regionals are dealing with today, lowering the rate risk exposure.

PNC

Among the megaregionals, U.S. Bancorp and Truist both managed their duration risk worse than PNC. As a result, we like the positioning of PNC better in this environment, and the bank has the opportunity to be more aggressive than these peers when opportunities arise as peers will be stuck in capital-build

mode for the foreseeable future. PNC is not quite as cheap, but it is cheap enough, and given the lower rate risk, we think the risk/reward setup is more attractive for investors looking to avoid those risks.

M&T Bank

M&T, like PNC, has a reputation for being a conservative, well-run bank. M&T managed its duration risk better than almost any other bank under our coverage, which would come as no surprise to longtime observers of the franchise. As a result, the bank has some of the lowest rate risk among our coverage.

The big risk metric that tends to come up on conversations about M&T is its commercial real estate exposure. Investor-owned CRE lending makes up 26% of the bank's loan portfolio. We view this level of exposure as manageable, and it is not uncommon for a regional bank in the U.S. to have these sorts of exposure levels, but it is admittedly higher than most other banks under our coverage, who often tend to be at 15% of total loans or less. Only a small percentage of this is office exposure (4% of total loans), and the weighted average loan/value ratio for the CRE book is 56%, giving the bank quite a bit of cushion. The bank has a long history of outperforming peers when it comes to loan underwriting, so we tend to give them the benefit of the doubt. We expect there will be losses in the CRE portfolio, but that they will be manageable. Combined with the lower rate risk for earnings and capital, we think M&T provides an interesting risk/reward setup for investors. **■ ■**

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (mines, for example), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

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Four key components drive the Morningstar rating:

- ▶ our assessment of the firm's economic moat.
- ▶ our estimate of the stock's fair value.
- ▶ our uncertainty around that fair value estimate.
- ▶ the current market price.

This process ultimately culminates in our single-point star rating.

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Fair Value Estimate

Each stock's fair value is estimated by using a proprietary discounted cash flow model, which assumes that the stock's value is equal to the total of the free cash flows of the company is expected to generate in the future, discounted back to the present at the rate commensurate with the riskiness of the cash flows. As with any DCF model, the ending value is highly sensitive to Morningstar's projections of future growth.

Fair Value Uncertainty

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The market prices used in this analysis and noted in the report come from exchanges on which the stock is listed, which we believe is a reliable source.

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